



Data warehousing

The process of data warehousing involves information from a company's internal system, such as invoices and sales logs, as well as data from outside sources, being filed away in an electronic vault.

How it works

The data warehouse is a repository that holds the company's sales and operational history, as well as relevant economic and trade information from other sources. The data goes through three stages before it is stored in the warehouse, which makes it usable for analytical purposes. Once stored, the data may be accessed by all areas of a company—from accounts and operations to sales and marketing.

The data is often used to assess beliefs and intuitions about the business. For example, the marketing manager of a power tools company might presume that 25–35-year-old men are more likely to purchase their products than women in the same age bracket. The manager would test this belief by analyzing sales data and customer records accessed from the data warehouse.

50%
of companies
surveyed in 2011
were not sure their
data warehouses
were future-proof

Warehousing process

The data stored is regularly updated. When the business requires information from the warehouse, it is transformed into an accessible format and analyzed using software tools.

Tapping data sources

The information a company collects includes online transaction processing (OLTP) data, historical data, and data from external sources.

